

FA pitch deck

PITCH — FA — VERDICT

PROPOSED — PENDING ADJUDICATION — No position. Both benches land on flat; the binding reason is that neither bench produced a fair value, so the name cannot be sized at any price. Reopen after the ~September 10 insider lock-up passes.

What we believe

First Advantage runs employment background screening — criminal checks, drug testing, verifications — charged per order. It bought its largest competitor, Sterling, in October 2024 and is now the scale player in a fragmented business.

The operating story is not in dispute and it is good:

- Revenue grew **14.9%** year over year in the June quarter (\$448.8M vs \$390.6M), and both periods are *after* the Sterling deal closed, so that is real growth, not merger arithmetic.
- Cash generation recovered hard: **\$123.0M** of operating cash flow in the first half of 2026 versus **\$56.8M** in the same half of 2025.
- Management raised guidance in August and is paying down debt voluntarily (\$70M prepaid in the June quarter).
- The company is asset-light. It owns almost nothing physical; one headquarters in Atlanta.

The original idea was that hiring volume is turning up after a multi-year white-collar hiring recession, and that the market had failed to pay for a beat-and-raise. We now believe the second half of that sentence is false, and the first half is unproven.

What the market believes

Roughly the same thing we do, and slightly more optimistically.

- Wall Street rates the stock a **Buy**, with an average price target of **\$26.25**.
- Street forward earnings estimates (~\$1.37/share) sit **above** the company's own raised guidance midpoint (\$1.26).
- The stock trades around **\$21–22**, roughly **13–17% below its 52-week high of \$25.15** — but also **+137% to +147% above its 52-week low of \$8.82**.

So the market is not skeptical of this company. It is already long, already paying up for a recovery, and already forecasting above management.

Why we might have edge

Honestly: we have not established that we do. The three candidate sources of edge, stated fairly:

1. **Forced supply is temporarily setting the price, not fundamentals.** Silver Lake, the private-equity owner, sold 12.5 million shares at \$22.20 on August 11 — four sessions after a beat-and-raise had pushed the stock to its 52-week high. The float (shares actually tradable) grew about 20%, from ~82.2M to ~94.0M. Prices set by a seller who *must* sell are not prices set by information.
2. **The overhang decays.** Silver Lake still owns **73,555,240 shares, or 42.8%** of the company. Each block it sells and the market absorbs removes some of the discount that exists *because* everyone knows those shares are coming. Mechanically, the *next* block pushes the price down; the *last* block is what lets the multiple re-rate. Our red-team bench priced only the first half of that.
3. **The short side is crowded into a known date.** About **11.77 million shares, 12.5% of the float**, are sold short into a lock-up expiry that every participant can read in the same public filing. That is a two-sided setup, not a one-sided warning — but it is a reason to be careful about size and timing, not a reason to own something.

None of these is a claim about the business that the Street does not already have.

Why it might be priced in

This is the stronger side of the argument, and we should say so plainly.

- **Our headline number was borrowed.** The original pitch said “cheap at 16.6× next year’s earnings.” The Street is at **15.3×** — a *lower*, more optimistic multiple — and publishes it. We were restating consensus with slightly worse math and calling it a discovery.
- **That 16.6× used an adjusted earnings figure, not the audited one.** Reported (GAAP) diluted earnings were **\$0.10** in the June quarter and **\$0.11** for the first half; full-year 2025 was a **loss of \$0.20**. On audited numbers the trailing multiple is about **144×**. The adjusted figure is roughly 3.5× the audited one. The gap is mostly non-cash amortization of Sterling intangibles plus interest — defensible to adjust for, but we must never quote the adjusted multiple without saying so.
- **There is meaningful debt.** Long-term debt was **\$2,033.8M** against **\$237.9M** of cash at June 30 — about **\$1.80B net**, or **3.76×** the midpoint of full-year adjusted EBITDA guidance (\$479M). On enterprise value the business trades at roughly **11.3–12.8× EBITDA**. That is a normal price for a levered rollup, not a bargain.
- **The best-informed seller told us their price.** Silver Lake has owned this company since before its 2021 IPO, sits on the board’s side of the table, and sold at **\$22.20** with full knowledge of the next several quarters. Any argument that the shares are worth materially more than \$22.20 has to explain what the sponsor knew and got wrong.
- **The drawdown framing was misleading.** “Down 16.5% from the high” sounds like a fallen stock. It is a 13–17% giveback on a 137%+ run off the trough. That is a pause in a rally, not a

dislocation.

What we checked ourselves

Includes where our own benches got it wrong. The red bench argued against the idea; the blue bench audited the red bench.

Claim	How checked	Found	Confirmed?
“Cheap at 16.6× earnings”	SEC XBRL diluted EPS from the 10-Q (0001193125-26-338063) and the FY25 10-K	Audited EPS: \$0.10 (Q2’26), \$0.11 (1H26), −\$0.20 (FY25). The 16.6× used adjusted EPS ~3.5× the audited figure	No — refuted. Our own headline number was non-audited
Revenue growth is organic, not merger optics	XBRL Q2’25 \$390.6M vs reported Q2’26 \$448.8M; both post-Sterling; company release reconciled to the filing	+14.9%, genuinely organic	Yes
Cash conversion is healthy	10-Q cash flow statement	1H26 operating cash flow \$123.0M vs \$56.8M in 1H25	Yes. The red bench attacked this and lost; it conceded outright
Leverage is unknown	XBRL long-term debt and cash at 2026-06-30	\$2,033.8M debt, \$237.9M cash → ~\$1.80B net, 3.76× EBITDA guide mid	Yes — and it goes against us. This was our own stated first task and it came back negative
We have a view the Street lacks	Consensus extraction	Street: 15.3× forward, Buy, \$26.25 target, estimates above company guidance	No — refuted. This is the single strongest finding against the idea
The offering created a broken syndicate: buyers 5.6% underwater	Red bench used the Aug 18 close of \$20.95	Two sessions later the price was \$21.78 — 1.9% below the \$22.20 deal price, not 5.6%	Bench error. Red argued a supply overhang on a stale price. Roughly two-thirds of that pressure had already healed by the time the verdict was written
Altman Z-score of 1.24 signals distress	Red bench cited it as a leverage/solvency flag	The Z-score is calibrated on manufacturers with inventory and heavy fixed assets. It is not diagnostic for an asset-light services company. Cash \$237.9M and \$195M+ annual operating cash flow; there is no solvency question	Bench error. Overweighted by red; corrected by blue

Claim	How checked	Found	Confirmed?
“144× earnings” proves it’s expensive	Blue bench cross-check	Red simultaneously argued a 144× multiple <i>and</i> a ~6.9% free-cash-flow yield as evidence of the same conclusion. Both cannot be the operative denominator	Bench error — internally inconsistent
Crowded short position kills the idea	Blue bench cross-check	Red wrote, correctly, that crowding “conditions” rather than kills — then used it as a reason to reject anyway. It also never priced the upside case: 12.5% of float short into a known date can squeeze	Bench error — doctrine stated then violated
We produced a fair value	Both briefs read end to end	Neither bench produced one. Red quoted the Street’s \$26.25 and declined to adopt or contest it. Blue produced none either	No. This, not the valuation debate, is the disqualifier
Independent read on hiring volume	App-download/review velocity connector run on First Advantage and on Sterling	Returned nothing, twice — no resolvable app to measure. The one high-frequency, non-management check on order volume did not execute	No — coverage gap. Reported, not laundered into a conclusion
Customer or vertical mix can be decomposed	Company disclosure + customs/shipment triangulation	No customer over 10% disclosed; no vertical-level revenue split published; company ships no physical goods so there is no shipment trail. There is no working instrument to separate volume growth from price-per-screen growth	No — structural gap
Insider filings around Aug 14 are benign	Filing index only	A Form 3 (new reporting insider) and a Form 4 were both filed 2026-08-14, plus two 13G/A amendments. Neither bench opened them. A Form 3 means a person became a reporting insider — could be a new director, or a Silver Lake designee	Unverified — cheapest unread document in the case
AI could compress price-per-screen	Nothing read	The pitch itself named this as the central risk. Neither bench examined it. Red killed on multiples instead	Unverified — the named central question was never litigated
Live price	IBKR quote permissions denied to both benches	No self-pulled bars. Red worked from \$20.95 (Aug 18 close), blue’s pack read \$21.78. We do not have a verified live price in this deck	No — flagged
Sponsor took a pre-IPO dividend	Debt history vs June 2021 IPO	No. The debt is Sterling-acquisition financing, and the company is prepaying it	Yes — clean
Various pattern-matchers fired	Reviewed each	Three matched on wrong features and were false positives: common-control merger accounting (Sterling was arm’s-length), Asia small-cap ramp-and-dump (Delaware issuer, Atlanta HQ), clinical-trial detectors (this is drug <i>testing</i> logistics, not drug development)	False positives — worth tightening the matchers

PROPOSED ENTRY BANDS

The courts say no entry. There is no buy level in this deck. Not a starter, not a token position. Below are the reopen conditions, taken from the benches' own arithmetic.

Why flat rather than a minimum starter. Our default when a court comes back clean is a small starter, and flat requires a *named* kill. Two are named here:

1. **No fair value exists on either side of this court.** We cannot size a position against a number we never produced.
2. **We would be bidding into flow we ourselves predict.** Silver Lake holds 42.8%, its shelf registration is live and effective, and its lock-up permits distributing up to 4.2 million shares *during* the lock-up to limited partners who are not themselves restricted. Buying ahead of supply we forecast is the error we most want to avoid.

Reopen gates — all four must clear before this name is priced again:

Gate	Condition	Source
Date	On or after 2026-09-10 . The lock-up on Silver Lake's remaining 73,555,240 shares expires on or about September 9–10 (30 days from August 10)	424B7 prospectus, primary
Tape	After that date, the stock holds \$20.30 while absorbing any further Silver Lake block. \$20.30 was the close immediately before the +3.2% recovery day; a break below it means the supply was not absorbed	Red bench's stated condition
Valuation work	An explicit desk fair value, with a named mechanism explaining why we differ from the Street's \$26.25 , plus a full-year 2027 consensus range — not the point estimate. The bar the red bench set: our estimate must be ≥15% above the high end of that range, with a stated reason	Both benches
Unread primaries	The 2026-08-14 Form 3 and Form 4 are read, and the price-per-screen/AI question is actually researched	Blue bench, findings C and D

Reference levels, for orientation only — these are not orders:

- **\$22.20** — the price Silver Lake sold at. Treat as a ceiling on any fair-value case until the residual stake clears. A sustained reclaim of this level is evidence the offering was absorbed.
- **\$26.25** — the Street's target. If the stock reaches this without our having produced independent valuation work, the name is finished as a long idea for us; we do not chase to consensus.
- **\$25.15 / \$8.82** — 52-week high and low.

Sizing, if and when it reopens: a staged starter only, not a full position, explicitly sized down against 3.76× leverage. Both benches said “small and staged” without giving a number; my proposal is **≤1.0% of book on the first tranche and ≤2.0% total**, and I am flagging that as my number, not theirs — it needs its own sign-off.

Catalyst dates:

- **2026-09-09/10** — lock-up expiry. **Confirmed** against the primary prospectus, not derived.
- **During the lock-up (now through ~9/10)** — up to 4,200,000 shares may be distributed in kind to Silver Lake’s limited partners, who can sell freely. This can happen without warning.
- **2026-11-05** — estimated next earnings date. **Unconfirmed** — this comes from a data vendor, not a company announcement. The August 6 print already happened and is the *source* of this setup, not something we are racing toward.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 20.3 (deck-provisional: Post-lock-up break of the pre-recovery close means Silver Lake supply was not absorbed; keeps the name)
- filing watch: 424B5,424B7,FWP,S-3ASR until 2027-02-17 (deck-provisional: Any new takedown signals the next Silver Lake block, which sets the next price.)
- dated pack FA|2026-09-09: FA: Silver Lake 30-day lock-up expires on 73,555,240 shares (42.8%); shelf already effective. (date confirmed=True)
- dated pack FA|2026-09-10: FA: Earliest date the courts permit re-opening this name, and only with a fair value in hand. (date confirmed=True)
- dated pack FA|2026-11-05: FA: Estimated Q3 2026 earnings; vendor-derived, no company announcement names it. (date confirmed=False)

What remains unverified

Stated without softening:

1. **We have no fair value.** Not a range, not a point. Every other item on this list is downstream of that.
2. **We have no verified live price in this document.** Quote permissions were denied to both benches. The two benches worked from prices two sessions apart (\$20.95 and \$21.78) and one of them built an argument on the staler figure. Any decision must start with a fresh quote.
3. **The hiring-volume inflection is management’s word alone.** The independent check we designed for exactly this returned nothing, twice. What we need is the specific base-revenue growth figure from the quarterly deck, checked against the filing — if it is above 4% and accelerating, the story becomes a number.

4. **Whether AI compresses price-per-screen is completely unexamined.** We named it as the central risk and then never looked. It is the only finding that would make this a structural short rather than a fairly-priced compounder.
5. **We cannot separate volume growth from price growth.** No customer disclosure, no vertical split, no physical shipments to triangulate against. This is a permanent instrument gap for this company, not a research to-do.
6. **The August 14 Form 3 and Form 4 are unread.** Cheapest open item in the case.
7. **Whether Silver Lake markets another block, and at what price, is unknown.** The “each block that clears removes the discount” argument is logical but has zero forward evidence behind it.
8. **Whether the 4.2 million in-kind shares have already been distributed and absorbed is unknown.**

Primary source relied on: the August 10, 2026 prospectus supplement covering the Silver Lake secondary — deal size, \$22.20 pricing, 30-day lock-up, 73,555,240 retained shares, and the 4.2 million in-kind carve-out are all read from it directly:

<https://www.sec.gov/Archives/edgar/data/1210677/000119312526345636/d134120d424b7.htm> — cross-checked against the August 12 Form 8-K (0001193125-26-347130) confirming 12,500,000 shares, no company proceeds, and closing on August 12.

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